

KAVACH REGULATORY AUTHORITY

Department of Financial Supervision, Mumbai - 400001

Circular No: KAVACH/2024/02

Date: 01 March 2024

Re: Know Your Customer (KYC) Norms and Customer Due Diligence

1. All REs shall classify customers into risk categories LOW, MEDIUM, HIGH based on business activity, location, source of funds, and profile. Risk categorization reviewed annually.
2. Enhanced Due Diligence (EDD) mandatory for: (a) PEPs and family/associates, (b) customers from FATF high-risk countries, (c) customers with declared income below Rs. 5,00,000 whose turnover exceeds 10x declared income in any rolling 6-month period.
3. For PEPs: (a) Senior management approval for account opening, (b) Establish source of wealth and funds, (c) Enhanced monitoring with quarterly reviews, (d) Any cash transaction exceeding Rs. 5,00,000 triggers automatic STR review.
4. KYC re-verification: HIGH risk every 2 years, MEDIUM every 8 years, LOW every 10 years. Failure results in partial account freeze.
5. NRE and NRO accounts undergo enhanced scrutiny when cumulative transfers exceed Rs. 50,00,000 in a financial year.
6. REs shall maintain digital copies of KYC documents, available to regulators within 48 hours.

SYNTHETIC circular for demonstration. Not actual regulatory guidance.